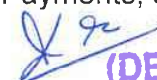


ARTICLE 6: BILLING AND PAYMENT

6.1 General

- 6.1.1 The Parties acknowledge and accept that the Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 notified vide G.S.R 416(E) on 03.06.2022 by the Central Government in exercise of the power conferred by Sub-section (1) of Section 176 of the Electricity Act, 2003 and its amendments (if any) shall apply and govern the terms and conditions of this Agreement in regard to matters contained in the said Rules including but not limited to the Late Payment Surcharge, adjustment towards the Late Payment Surcharge, Payment Security mechanism-its operations and consequences, actions of Defaulting Entities, supply obligation of RPD/REPG, power not requisitioned by the Buying Entity, the order of payment and adjustment towards late payment surcharge and indemnification. In case of any inconsistency in the Guidelines and/or the provisions of this Agreement, with the provisions of the above Electricity (Late Payment Surcharge and Related Matters) Rules, 2022, the Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 will supersede and be applicable and govern the terms and conditions of this Agreement. The above shall apply both in regard to the present agreement as well as on mutatis mutandi and back to back basis to the PPA. The Rules referred to herein above being statutory shall, to the extent applicable, supersede any provisions in the PPA and PSA which are inconsistent or contrary to the provisions of the Rules.
- 6.1.2 The Parties acknowledge and accept that the Electricity (Promotion of Generation of Electricity from Must-Run Power Plants) Rules, 2021 notified vide G.S.R. 752(E) dated 22.10.2021 by the Central Government in exercise of the power conferred by Sub-section (1) of Section 176 of the Electricity Act, 2003 shall apply in regard to the Must-Run Power Plants forming part of this Agreement, including in regard to curtailment, the regulation of power supply and sale of power to the power exchange and consequential adjustment of the recoveries. In case of any inconsistency in the Guidelines and/or the provisions of this Agreement, with the provisions of the above Electricity (Promotion of Generation of Electricity from Must-Run Power Plants) Rules, 2021, the Electricity (Promotion of Generation of Electricity from Must-Run Power Plants) Rules, 2021 will supersede and be applicable and govern the terms and conditions of this Agreement. The above shall apply both in regard to the present agreement as well as on mutatis mutandi and back to back basis to the PPA. The Rules referred to herein above being statutory shall, to the extent applicable, supersede any provisions in this Agreement and the PSA which are inconsistent or contrary to the provisions of the Rules.
- 6.1.3 Subject to the above, from the commencement of supply of power by SJVN, the Buying Entity shall pay to SJVN the monthly Tariff Payments, on or before the Due




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan Extn.
U.P.C.L., Lucknow

Date, in accordance with Tariff as specified in Article 5. All Tariff Payments by the Buying Entity shall be in Indian Rupees.

6.1.4 SJVN shall issue to the Buying Entity assigned Monthly Bill every month, either through email or any other means on any business day of the month, prepared based on provisional energy account / SEA/JMR issued by RPC/concerned authorities of the preceding month. However, hardcopy of the bill may be sent by SJVN to the Buying Entity, afterwards. The monthly bill shall also include the following:

- i) Monthly bill may be raised based on the provisional REA / SEA, the final adjustments in bill if any may be done on the basis of the final / amended REA / SEA along with Debit/Credit Note.
- ii) Late Payment Surcharge if any
- iii) Taxes, duties Levies etc, as applicable

Final billing may be done based on published REA /SEA.

6.2 Payment of Monthly Bills

6.2.1 The Buying Entity shall pay the amount payable under the Monthly Bill/Supplementary Bill on or before the Due Date i.e. within 45 days of presentation of bill within official hours, to such account of SJVN, as shall have been previously notified to the Buying Entity in accordance with Article 6.2.2 below.

6.2.2 SJVN shall open a bank account at New Delhi ("SJVN's Designated Account") for all Tariff Payments to be made by the Buying Entity to SJVN and notify the Buying Entity of the details of such account at least ninety (90) Days before the dispatch of the first Monthly Bill. The Buying Entity shall also designate a bank account at Lucknow (The Buying Entity's Designated Account) for payments to be made by SJVN to Buying Entity, if any. The Buying Entity shall inform SJVN the details of such account ninety (90) Days before the dispatch of the first Monthly Bill. SJVN and the Buying Entity shall instruct their respective bankers to make all payments under this Agreement to the Buying Entity's Designated Account or SJVN's Designated Account, as the case may be, and shall notify either Party of such instructions on the same day.

6.3 Late Payment Surcharge

Subject to Article 6.1, 6.2, In the event of payment of a Monthly Bill by the Buying Entity beyond the Due Date, a Late Payment Surcharge (LPS) shall be payable by the Buying Entity to SJVN on the outstanding payment, at the base rate of Late Payment Surcharge applicable for the period for the first month of default. The rate of Late Payment Surcharge for the successive months of default shall increase by




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan, Extn.
U.P.P.C.L., Lucknow

0.5 percent (50 bps) for every month of delay provided that the Late Payment shall not be more than three (3) percent higher than the base rate at any time.

Late payment surcharge shall be governed as per MOP notification dated 03.06.2022 "Electricity (Late Payment Surcharge and Related Matters) Rules, 2022" and as amended from time to time.

"Base rate of Late Payment Surcharge" means the marginal cost of funds based lending rate for one year of the State Bank of India, as applicable on the 1st April of the financial year in which the period lies, plus five percent and in the absence of marginal cost of funds based lending rate, any other arrangement that substitutes it, which the Central Government may, by notification, in the Official Gazette, specify. Provided, that if the period of default lies in two or more financial years, the base rate of Late Payment Surcharge shall be calculated separately for the periods falling in different years.

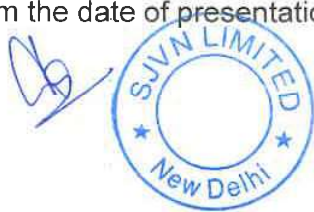
The Late Payment Surcharge shall be claimed by SJVN through the Supplementary Bill or subsequent monthly bill. All payments by the Buying Entity to SJVN for power procured from it shall be first adjusted towards Late Payment Surcharge and thereafter, towards monthly charges, starting from the longest overdue bill.

Order of payment and adjustment towards Late Payment Surcharge - All the bills payable by the Buying Entity to SJVN for the energy procured from it, shall be time tagged with respect to the date and time of submission of the bill and the payment made by the Buying Entity shall be adjusted first against the Late Payment Surcharge and thereafter the oldest bill and then to the second oldest bill and so on, so as to ensure that payment against a bill is not adjusted unless and until all bills older than it have been paid for.

6.4 Rebate

For payment of any Bill including Supplementary Bill on or before Due Date, the following Rebate shall be paid by the SJVN to Buying Entity in the following manner:

- a) A Rebate of 1.5% shall be payable to the Buying Entity for the payments made within a period of 5 days of the date of presentation of bills through e-mail.
- b) Any payments made beyond a period of 5 days upto and including the 30th Day from the date of presentation of bills through email, shall be allowed a rebate of 1%.
- c) Any payments made beyond a period of 30 days upto and including the Due date from the date of presentation of bills through email, no rebate shall be allowed.




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan Extn.
U.P.P.C.L., Lucknow

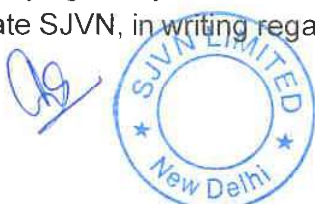
- d) No Rebate shall be payable on the Bills raised on account of Change in Law (except in case of annuity tariff model being implemented, where rebate will be applicable), taxes, duties, cess etc., Late Payment Surcharge and transmission & scheduling related charges, RLDC/SLDC charges, CTU/STU charges, open access charges etc.
- e) The bill receipt date shall be considered as zero date.

Illustration – For the invoice received through e-mail on the 1st January, the Due Date shall be the 15th February considering the bill receipt date as zero date and 45th day as the Invoice Due Date.

6.5 Payment Security Mechanism

(A) Letter of Credit (LC):

- 6.5.1 The Buying Entity shall provide to SJVN, in respect of payment of its Monthly Bills, a single, unconditional, revolving and irrevocable letter of credit ("Letter of Credit") opened and maintained by the Buying Entity, which may be drawn upon by SJVN in accordance with this Article. The Buying Entity shall provide SJVN draft of the Letter of Credit proposed to be provided to SJVN two (2) months before the Scheduled Commencement of Supply Date (SCSD).
- 6.5.2 Not later than one (1) Month before the Commencement of Supply, the Buying Utility shall through a scheduled bank at Lucknow open a Letter of Credit in favour of SJVN, to be made operative at least 15 days prior to the Due Date of its first Monthly Bill under this Agreement. The Letter of Credit shall have a term of twelve (12) Months and shall be renewed annually for an amount equal to:
 - i) equal to 110% of the estimated average monthly billing; for the first Contract Year.
 - ii) equal to 110% of the average of the monthly billing of the previous Contract Year, for each subsequent Contract Year.
- 6.5.3 SJVN shall not draw upon such Letter of Credit prior to the Due Date of the relevant Monthly Bill and shall not make more than one drawl in a Month.
- 6.5.4 Provided further that if at any time, such Letter of Credit amount falls short of the amount specified in Article 6.5.2 due to any reason whatsoever, the Buying Entity shall restore such shortfall within seven (7) days of receipt of such information from SJVN.
- 6.5.5 The Buying Entity shall cause the scheduled bank issuing the Letter of Credit to intimate SJVN, in writing regarding establishing of such irrevocable Letter of Credit




(DEEPAK RAIZADA)
Chief Engineer (R.P.A.)
Shakti Bhawan Extn.
U.P.P.C.L. Lucknow

and any of the changes therein.

6.5.6 The Buying Entity shall ensure that the Letter of Credit shall be renewed not later than its expiry.

6.5.7 All costs relating to opening, maintenance of the Letter of Credit shall be borne by the Buying Entity.

6.5.8 If the Buying Entity fails to pay a Monthly Bill or part thereof within and including the Due Date, then, subject to Article 6.5.3 and 6.9 SJVN may draw upon the Letter of Credit and accordingly the bank shall pay without any reference or instructions from the Buying Entity, an amount equal to such Monthly Bill or part thereof, by presenting to the scheduled bank issuing the Letter of Credit, the following documents:

- i) a copy of the Monthly Bill which has remained unpaid by the Buying Entity;
- ii) a certificate from SJVN to the effect that the bill at item (i) above, or specified part thereof, is in accordance with the Agreement and has remained unpaid beyond the Due Date as per the provision of this PSA;

(B) Deleted

(C) Deleted

6.6 Third Party Sales by SJVN

6.6.1 Notwithstanding anything to the contrary contained in this Agreement, SJVN shall be entitled to but not obligated to regulate supply of Power of the Buying Entity in case of Default in making payment by the 30th day after the Due Date of the Buying Entity. SJVN shall issue the Notice for Regulation of Power Supply on the date above and shall give a notice of 15 days to start the regulation on the 16th day thereafter.

6.6.2 Regulation of power supply would be on pro rata basis i.e., in the ratio of amount due and unpaid to total amount due against the relevant Monthly Bill.
In order to avoid any doubts, it is illustrated that:

In the event of a bill amounting to Rs. 25 Crore is unpaid to the extent of Rs. 10 Crore, SJVN would have a right to regulate and sell Buying Utility's allocation of the power to third parties to the extent of 40% (i.e. $10/25 \times 100$). SJVN/RPD/REPG shall have the right to divert the Power or part thereof and sell it to any third party namely;

- i) Any consumer, subject to applicable Law; or
- ii) Any licensee under the Act;




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan Extn.
U.P.P.C.L., Lucknow

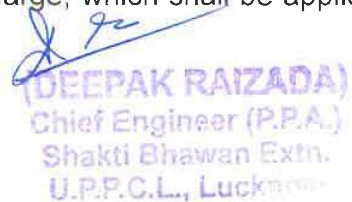
SJVN shall request the concerned SLDC/RLDC to divert such power to third party as it may consider appropriate.

Provided that such sale of power to third party shall not absolve Buying Entity from its obligation to pay in full to SJVN for the obligation for the purchase of Power as per Schedule-A & B of this Agreement and any other outstanding payment liability of Buying Entity as per this Agreement.

- 6.6.3 The gains from the diversion and sale of such power to third party, which shall be the difference between selling price of such power in the power exchange and the expense borne for such power sale including energy charges, transmission charges; other incidental charges and shall be adjusted in accordance with Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 and subsequent amendments thereof and the deficit if any shall be made good by the Buying Entity.
- 6.6.4 Sale to any third party shall cease and regular supply of electricity to the Buying Utility shall commence and be restored within five (5) days from the date of clearing all outstanding dues payable to SJVN for the Power under this Agreement.
- 6.6.5 Further, the liability of the Buying Entity to make the Tariff Payments to SJVN as per Energy Accounts shall start from the day of such restoration of supply of power and shall continue for such periods wherein such power was made available by RPD/REPG for usage by the Buying Entity.

6.7 Disputed Bill

- 6.7.1 If the Buying Entity does not dispute a Monthly Bill or a Supplementary Bill raised by the other Party within fifteen (15) days of receiving such Bill, the same shall be taken as conclusive and binding.
- 6.7.2 If Buying Entity disputes the amount payable under a Monthly Bill or a Supplementary Bill, as the case may be, it shall pay undisputed invoice amount and it shall within fifteen (15) days of receiving such Bill, issue a notice (the "Bill Dispute Notice") to the invoicing Party setting out:
- i) the details of the disputed amount;
 - ii) its estimate of what the correct amount should be; and
 - iii) all written material in support of its claim.
- 6.7.3 If the SJVN agrees to the claim raised in the Bill Dispute Notice issued pursuant to Article 6.7.2, the SJVN shall make appropriate adjustment in the next Monthly Bill. In such a case excess amount shall be refunded by SJVN to Buying Entity along with interest at the same rate as Late Payment Surcharge, which shall be applied



from the date on which such excess payment was made by the Buying Entity and up to and including the date on which such payment has been received as refund. Similarly, in case, an amount becomes payable by the Buying Entity to SJVN from the disputed amount in the invoice after the dispute is resolved, then the same shall be paid along with interest at the same rate as Late Payment Surcharge, which shall be applied from the Due Date.

- 6.7.4 If SJVN does not agree to the claim raised in the Bill Dispute Notice issued pursuant to Article 6.7.2 it shall, within fifteen (15) days of receiving the Bill Dispute Notice, furnish a notice (Bill Disagreement Notice) to the disputing Party providing:
- i) reasons for its disagreement;
 - ii) its estimate of what the correct amount should be; and
 - iii) all written material in support of its counter-claim.
- 6.7.5 Upon receipt of the Bill Disagreement Notice by the Buying entity under Article 6.7.4, authorized representative(s) or a director of the board of directors/ member of board of the Buying entity and SJVN shall meet and make best endeavors to amicably resolve such dispute within fifteen (15) days of receipt of the Bill Disagreement Notice.
- 6.7.6 If the Parties do not amicably resolve the Dispute within fifteen (15) days of receipt of Bill Disagreement Notice pursuant to Article 6.7.4, the matter shall be referred to Dispute resolution in accordance with governing Laws and Dispute resolution in PSA.
- 6.7.7 For the avoidance of doubt, it is clarified that despite a Dispute regarding an Invoice, the Buying entity shall, without prejudice to its right to Dispute, be under an obligation to make payment of undisputed invoice amount in the Monthly Bill.

6.8 Quarterly and Annual Reconciliation

- 6.8.1 The Parties acknowledge that all payments made against Monthly Bills and Supplementary Bills shall be subject to quarterly reconciliation and adjustment, if any, within thirty (30) days of the end of the quarter at the beginning of the following quarter of each Contract Year and annual reconciliation and adjustment, if any, at the end of each Contract Year within thirty (30) days thereof to take into account the Energy Accounts, Tariff adjustment payments, Tariff Rebate, Late Payment Surcharge, or any other reasonable circumstance provided under this Agreement.
- 6.8.2 The Parties, therefore, agree that as soon as all such data in respect of any quarter of a Contract Year or a full Contract Year as the case may be has been finally verified and adjusted, the Buying Utility and SJVN shall jointly sign such reconciliation statement. After signing of a reconciliation statement, the SJVN shall make appropriate adjustments in the following Monthly Bill, with




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan Extn.
U.P.P.C.L., Lucknow

Surcharge/Interest, as applicable., Late Payment Surcharge/ interest shall be payable in such a case from the date on which such payment had been made to the invoicing Party or from the date on which any payment was originally due, as may be applicable. Any Dispute with regard to the above reconciliation shall be dealt with in accordance with the provisions of Article 12.

6.9 Renewable Purchase Obligation

- 6.9.1 The Buying Utility may identify the energy procured from the RPD/REPG Delivery Point to meet its renewable purchase obligations (as mandated by the Appropriate Commission).
- 6.9.2 SJVN shall provide such certificate identifying the quantum of RE energy (Solar & Wind & ESS component charged with RE sources) supplied by SJVN and being met by the Buying Utility for each Contract Year not later than 30 days of the reconciliation for such Contract Year.
- 6.9.3 The provisions of Article 4.4 of the PPA shall be applicable mutatis mutanda to this Agreement.
- 6.9.4 The compensation as per Article 4.4.3 of the PPA shall be applied to the amount of shortfall in generation, on account of monthly peak hour availability and/or the shortfall in achieving annual minimum CUF during any Contract Year. SJVN shall pass such compensation recovered from RPD/REPG under the SJVN-RPD/REPG PPA to Buying Entity in the Designated Account not later than 15 days of receipt of the same from RPD/REPG under the SJVN-RPD/REPG PPA. However, this compensation shall not be applicable in events of Force Majeure identified under this Agreement affecting supply of power by SJVN/RPD/REPG, Grid Non-Availability beyond control of the RPD/REPG (as applicable).

6.10 Payment of Supplementary Bill

- 6.10.1 SJVN may raise a "Supplementary Bill" for payment on account of:
- Change in Law as provided in Article 8 of PSA, or
 - Any subsequent revision in energy account by concerned RLDC/SLDC, as applicable, or
 - Payment under Article 6.11 and other charges, if any.

and such Supplementary Bill shall be paid by the Buying Entity.

- 6.10.2 Buying Entity shall remit all amounts due under a Supplementary Bill raised by the SJVN to the SJVN's Designated Account by the Due Date.

- 6.10.3 In the event of delay in payment of a Supplementary Bill by Buying Entity beyond




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan Extn.
U.P.C.L., Lucknow

its Due Date, a Late Payment Surcharge shall be payable at the same terms applicable to the Monthly Bill in Article 6.3.

6.11 Generation Compensation for Offtake constraints:

The Buying Utility may be constrained not to schedule power on account of unavailability of the Transmission Infrastructure / Grid or in the eventuality of a Back down in accordance with the Electricity (Promotion of Generation of Electricity from Must-Run Power Plant) Rules, 2021, as amended from time to time.

6.11.1 Generation Compensation in offtake constraints due to Grid Unavailability:

During the operation of the plant, there can be some periods where the plant can generate power but due to temporary transmission unavailability the power is not evacuated, for reasons not attributable to the Generator. In such cases the generation compensation shall be addressed by the Buying Entity in following manner:

Duration of Grid unavailability	Provision for Generation Compensation
Grid unavailability beyond 175 hours in a Contract Year, as defined in SJVN-RPD/REPG PPA	Generation Compensation = $(\text{Tariff} \times \text{RE power (MW) offered but not scheduled by Procurer}) \times 1000 \times \text{No. of hours of grid unavailability}$. However, in case of third party sale or sale in the power exchange, as price taker, the 95% of the amount realized, after deducting expenses, shall be adjusted against the Generation compensation payable, on monthly basis.

The above compensation will be paid to the RPD/REPG on an annual basis.

6.11.2 Payment in case of reduced offtake: The RPD/REPG and the Buying Utility shall follow the forecasting and scheduling process as per the regulations in this regard by the Appropriate Commission. In case the plant is available to supply power but the off- take of power is not done by the Buying Entity, including non-dispatch of power due to non-compliance with "Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 notified by the Ministry of Power vide Gazette notification dated 3rd June 2022" and any clarifications or amendment thereto, considering the principle of 'must run' status for RE Power, the Generator shall be eligible for payment from the Procurer, corresponding to the reduced off take, in terms of following manner:




(DEEPAK RAIZADA)
 Chief Engineer (P.P.A.)
 Shakti Bhawan Extn.
 U.P.P.C.L., Lucknow

Reduced offtake	Provision for Generation Compensation
Grid unavailability beyond 175 hours in a year, as defined in the PPA	Generation Compensation = <i>(Tariff x RE power (MW) offered but not scheduled by Procurer) X 1000 X No. of hours of Reduced Offtake</i> However, in case of third-party sale or sale in the power exchange, as price taker, the 95% of the amount realized, after deducting expenses, shall be adjusted against the Generation compensation payable, on monthly basis.

The Tariff shall be the Applicable Tariff as per Article 9 of PPA.

The RPD/REPG shall be eligible for payment from the Buying Entity, corresponding to the reduced offtake of Power as per above mentioned methodology. The Payment is to be done as part of the energy bill for the successive month after receipt of Regional Energy Accounts (REA) / SEA. No Trading Margin shall be applicable on this Payment.

The RPD/REPG shall not be eligible for any compensation in case the Backdown is on account of events like consideration of grid security or safety of any equipment or personnel or other such conditions or Force Majeure. The Generation Compensation shall be paid as part of the energy bill for the successive month after receipt of Energy Accounts (REA/SEA). No Trading Margin shall be applicable on the Generation Compensation.

It is hereby clarified that for the purpose of Article 6.11 "generation" shall mean scheduled/actual energy as applicable based on Energy Accounts.

- 6.11.3 For claiming compensation, the RPD must sell their power in the power exchange as a price taker. Thus, the compensation would be limited to the difference of the actual generation up to declared capacity subject to a maximum of up to the contracted capacity and the quantum of power scheduled by the Buying Utility.




 (DEEPAK RAIZADA)
 Chief Engineer (P.P.A.)
 Shakti Bhawan Extd.
 U.P.P.C.L. Lucknow

ARTICLE 4. METERING, ENERGY ACCOUNTING AND SCHEDULING

4.1 Metering

- 4.1.1 The metering arrangements for metering the electrical energy supplied at the Delivery Point and the Delivery Point shall be as per the provisions identified in the SJVN-RPD/REPG PPA respectively. The metering arrangement shall comply with the norms of CERC/ SERC / CEA etc. as applicable.
- 4.1.2 The energy details obtained from Energy Accounts issued by the RPC / LDC of the Buying Entity shall be provided to Buying Entity by SJVN along with Monthly Bill validating the total energy for which the Monthly Bill is generated.
- 4.1.3 Energy Accounts shall be binding on both the Parties for billing and payment purposes.

4.2 Energy Accounting and Scheduling

- 4.2.1 The scheduling and energy accounting of Power shall be as per the provisions of the SJVN-RPD/REPG PPA and Grid Code.
- 4.2.2 The RPD/REPG shall be responsible for any deviation from scheduling and for any resultant liabilities on account of charges for deviation as per applicable prevailing regulations. For RE component of the total power supplied, DSM as per RE regulations shall be applicable and for ESS component, the DSM as per respective regulations shall be applicable. Deviation Settlement Mechanism (DSM) charges on this account shall be directly paid by the RPD/REPG.
- 4.2.3 The RPD/REPG shall be responsible for any deviation related to scheduling and actual generation.
- 4.2.4 As part of scheduling of power from the Project, the RPD/REPG will be required and shall further ensure the Any Other Source Generator(s) to punch-in their respective schedules and subsequent revisions, by themselves, at the interfaces of all the RLDCs concerned for the corridor of power flow, including the RLDC of the Buying Entity(ies), as per the Regulations in force, under intimation to SJVN/Buying Entity. SJVN/Buying Entity may facilitate in identification of any discrepancy and assist the RPD/REPG for its early rectification without any liability on Buying Entity/SJVN. The RPD/REPG shall be solely responsible for discrepancy identification and its rectification to avoid any rejection/less payment of invoices.




(DEEPAK RAIZADA)
Chief Engineer (P.P.A.)
Shakti Bhawan Extn.
U.P.C.L., Lucknow

ARTICLE 10: BILLING AND PAYMENT

10.1 General

- 10.1.1 Pursuant to Article 4.1.1 (k), SJVN shall set up a payment security fund for RE Projects in order to ensure timely payment. This fund may have a corpus to cover 3 months' payment.
- 10.1.2 From the commencement of supply of power, SJVN shall pay to the RPD/REPG the monthly Tariff Payments subject to the adjustments as per provisions of this Agreement including Article 6, in accordance with Article 9. All Tariff Payments by SJVN shall be in Indian Rupees.
- 10.1.3 For the purpose of payment of the bills raised by the RPD/REPG(s), in case Energy Account is published on cumulative basis, payment to the RPD/REPG(s) for the energy delivered shall be apportioned based on REA/SEA/JMR taken for the RPD/REPG's Project at the Pooling substation/metering Point.
- 10.1.4 The RPD/REPG shall be required to make arrangements and payments for import of energy and other charges (if any) required for supply / offer of the contracted capacity under this Agreement as per applicable regulations.
- 10.1.5 The obligation of SJVN shall be to pay the Applicable Tariff to RPD/REPG and it shall be entirely for the RPD/REPG to deal with and discharge the charges payable to the any other source generator(s).
- 10.1.6 The Parties acknowledge and accept that the Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 notified vide G.S.R 416(E) on 03.06.2022 by the Central Government in exercise of the power conferred by Sub-section (1) of Section 176 of the Electricity Act, 2003 shall apply and govern the terms and conditions of this Agreement in regard to matters contained in the said Rules including but not limited to the Late Payment Surcharge, adjustment towards the Late Payment Surcharge, Payment Security mechanism-its operations and consequences, actions of Defaulting Entities, supply obligation of RPD/REPG, power not requisitioned by the Buying Entity, the order of payment and adjustment towards late payment surcharge and indemnification. In case of any inconsistency in the Guidelines and/or the provisions of this Agreement, with the provisions of the above Electricity (Late Payment Surcharge and Related Matters) Rules, 2022, the Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 will supersede and be applicable and govern the terms and conditions of this Agreement. The above shall apply both in regard to the present agreement as well as on mutatis mutandi and back to back basis to the PSA. The Rules referred to hereinabove being statutory shall, to the extent applicable, supersede any provisions in this Agreement and the PSA which are inconsistent or contrary to the provisions of the Rules.
- 10.1.7 The Parties acknowledge and accept that the Electricity (Promotion of Generation



of Electricity from Must-Run Power Plants) Rules, 2021 notified vide G.S.R. 752(E) dated 22.10.2021 by the Central Government in exercise of the power conferred by Sub-section (1) of Section 176 of the Electricity Act, 2003 shall apply in regard to the Must-Run Power Plants forming part of this Agreement, including in regard to curtailment, the regulation of power supply and sale of power to the power exchange and consequential adjustment of the recoveries. In case of any inconsistency in the Guidelines and/or the provisions of this Agreement, with the provisions of the above Electricity (Promotion of Generation of Electricity from Must-Run Power Plants) Rules, 2021, the Electricity (Promotion of Generation of Electricity from Must-Run Power Plants) Rules, 2021 will supersede and be applicable and govern the terms and conditions of this Agreement. The above shall apply both in regard to the present agreement as well as on mutatis mutandi and back to back basis to the PSA. The Rules referred to hereinabove being statutory shall, to the extent applicable, supersede any provisions in this Agreement and the PSA which are inconsistent or contrary to the provisions of the Rules.

10.2 Delivery and Content of Monthly Bills/Supplementary Bills

10.2.1 The RPD/REPG shall issue to SJVN hard copy of a signed Monthly Bill/Supplementary Bill for the immediately preceding Month/relevant period based on the issuance of Energy Accounts/ JMR along with all relevant documents (payments made by RPD/REPG for drawl of power, payment of reactive energy charges, Metering charges or any other charges as per guidelines of SERC/CERC, if applicable).

Each Monthly Bill shall include all charges as per this Agreement for the energy supplied for the relevant Month based on Energy Accounts issued by RPC/SLDCs/ JMR or any other competent authority which shall be binding on both the Parties. The Monthly Bill amount shall be the product of the energy as per Energy Accounts and the Applicable Tariff. Energy drawn from the grid will be regulated as per the regulations of respective State the Project is located in.

10.2.2 As per applicable regulation(s) of the Appropriate Commission(s)/respective SERC(s), all charges pertaining to obtaining open access and scheduling of power, if any, upto the Delivery Point(s), shall be borne by the RPD/REPG.

10.3 Payment of Monthly Bills

10.3.1 SJVN shall pay the amount payable under the Monthly Bill/Supplementary Bill by the Due Date to such account of the RPD/REPG, as shall have been previously notified by the RPD/REPG as below.

10.3.2 All payments required to be made under this Agreement shall also include any deduction or set off for:

- i) deductions required by the Law; and



- ii) amount claimed by SJVN, if any, from the RPD/REPG, will be adjusted from the monthly energy payment. In case of any excess payment adjustment, 1.25% surcharge will be applicable on day to day basis.

The RPD/REPG shall open a bank account (the "RPD/REPG's Designated Account") for all Tariff Payments (including Supplementary Bills) to be made by SJVN to the RPD/REPG and notify SJVN of the details of such account at least ninety (90) Days before the dispatch of the first Monthly Bill. SJVN shall also designate a bank account at New Delhi ("SJVN Designated Account") for payments to be made by the RPD/REPG to SJVN, if any, and notify the RPD/REPG of the details of such account ninety (90) Days before the Scheduled Commencement of Supply Date. SJVN and the RPD/REPG shall instruct their respective bankers to make all payments under this Agreement to the RPD/REPG's Designated Account or SJVN's Designated Account, as the case may be, and shall notify either Party of such instructions on the same day.

10.3.3 Late Payment Surcharge

In the event of delay in payment of a Monthly Bill by SJVN beyond the Due Date, a Late Payment Surcharge shall be payable by SJVN to the RPD/REPG on the outstanding payment, at the base rate of Late Payment Surcharge applicable for the period for the first month of default. "Base rate of Late Payment Surcharge" means the marginal cost of funds based lending rate for one year of the State Bank of India, as applicable on the 1st April of the financial year in which the period lies, plus five percent (500 bps) and in the absence of marginal cost of funds based lending rate, any other arrangement that substitutes it, which the Central Government may, by notification, in the Official Gazette, specify.

The Late Payment Surcharge shall be claimed by the RPD/REPG through the Supplementary Bill. Late Payment Surcharge shall be payable on the outstanding payment at the base rate of Late Payment Surcharge applicable for the period for the first month of default. The rate of Late Payment Surcharge for the successive months of default shall increase by 0.5 percent (50 bps) for every month of delay provided that the Late Payment Surcharge shall not be more than 3 percent higher than the base rate at any time.

If the period of default lies in two or more financial years, the base rate of Late Payment Surcharge shall be calculated separately for the periods falling in different years.

The above payment will be made by SJVN subject to such late payment surcharge being duly received by SJVN under the PSA from the Buying Entity(ies).

10.3.4 Subject to the Article 9 of this Agreement, in the event of early Commencement of Supply of Power and subject to acceptance by SJVN, the payment for the power fed



to the grid may be accounted from the date of Early Commencement of Supply Date, and RPD/REPG would be allowed to raise Bills against such power as per Article 10.2.1. However, payment against the 1st such bill raised by the RPD/REPG, will be made subject to acceptance of the bill by the Buying entity.

10.3.5 Rebate

For payment of any Bill on or before Due Date, the following Rebate shall be paid by the SPD to SJVN in the following manner.

- a) A Rebate of 1.5% shall be payable to the SJVN for the payments made within a period of 10 (ten) days of the presentation of hard copy of Bill.
- b) Any payments made after ten (10) days up to and including the 35th Day after the date of presentation of Bill through hard copy, shall be allowed a rebate of 1 %.
- c) Any payments made beyond a period of 35 days upto and including the Due date from the date of presentation of Bill through hard copy, no rebate shall be allowed.
- d) For the above purpose, the date of presentation of Bill shall be the next Business Day of delivery of the physical copy of the Bill at SJVN.
- e) No Rebate shall be payable on the Bills raised on account of Change in Law (except in case of annuity tariff model being implemented, where rebate will be applicable) relating to taxes, duties, cess etc. and on Supplementary Bill.

10.4 Payment Security Mechanism Letter of Credit (LC):

10.4.1 SJVN shall provide to the RPD/REPG, in respect of payment of its Monthly Bills and/or Supplementary Bills, a monthly unconditional, revolving and irrevocable letter of credit ("Letter of Credit"), opened and maintained which may be drawn upon by the RPD/REPG in accordance with this Article.

10.4.2 Before the start of supply, SJVN shall, through a scheduled bank, open a Letter of Credit in favour of the RPD/REPG, to be made operative from a date prior to the Due Date of its first Monthly Bill under this Agreement. The Letter of Credit shall have a term of twelve (12) Months and shall be renewed annually, for an amount equal to:

- i) for the first Contract Year, equal to 110% of the estimated average monthly billing
- ii) for each subsequent Contract Year, equal to 110% of the average of the monthly billing of the previous Contract Year.

10.4.3 Provided that the RPD/REPG shall not draw upon such Letter of Credit prior to the



Due Date of the relevant Monthly Bill and/or Supplementary Bill, and shall not make more than one drawl in a Month.

10.4.4 Provided further that if at any time, such Letter of Credit amount falls short of the amount specified in Article 10.4.2 due to any reason whatsoever, SJVN shall restore such shortfall before next drawl.

10.4.5 SJVN shall cause the scheduled bank issuing the Letter of Credit to intimate the RPD/REPG, in writing regarding establishing of such irrevocable Letter of Credit.

10.4.6 SJVN shall ensure that the Letter of Credit shall be renewed not later than its current expiry date.

10.4.7 All costs relating to opening, maintenance of the Letter of Credit shall be borne by SJVN.

10.4.8 If SJVN fails to pay undisputed Monthly Bill or Supplementary Bill or a part thereof within and including date as on the Due Date, then, subject to Article 10.4.6 & 10.5.2, the RPD/REPG may draw upon the Letter of Credit, and accordingly the bank shall pay an amount equal to such Monthly Bill or Supplementary Bill or part thereof, in accordance with Article 10.4.3 above, by presenting to the scheduled bank issuing the Letter of Credit, the following documents:

- i) a copy of the Monthly Bill or Supplementary Bill (only for energy related bills) which has remained unpaid to RPD/REPG and;
- ii) a certificate from the RPD/REPG to the effect that the bill at item (i) above, or specified part thereof, is in accordance with the Agreement and has remained unpaid beyond the Due Date;

10.5 Disputed Bill

10.5.1 If the SJVN does not dispute a Monthly Bill or a Supplementary Bill raised by the RPD/REPG within thirty (30) days of receiving such Bill shall be taken as conclusive.

10.5.2 If the SJVN disputes the amount payable under a Monthly Bill or a Supplementary Bill, as the case may be, it shall pay the **undisputed amount** and it shall within thirty (30) days of receiving such Bill, issue a notice (the "Bill Dispute Notice") to the invoicing Party setting out:

- i) the details of the disputed amount;
- ii) its estimate of what the correct amount should be; and
- iii) all written material in support of its claim.

10.5.3 If the RPD/REPG agrees to the claim raised in the Bill Dispute Notice issued



pursuant to Article 10.5.2, the RPD/REPG shall revise such Bill and present along with the next Monthly Bill. In such a case excess amount shall be refunded along with interest at the same rate as Late Payment Surcharge, which shall be applied from the date on which such excess payment was made by the disputing Party to the invoicing Party and up to and including the date on which such payment has been received as refund.

10.5.4 If the RPD/REPG does not agree to the claim raised in the Bill Dispute Notice issued pursuant to Article 10.5.2, it shall, within fifteen (15) days of receiving the Bill Dispute Notice, furnish a notice (Bill Disagreement Notice) to the SJVN providing:

- i) reasons for its disagreement;
- ii) its estimate of what the correct amount should be; and
- iii) all written material in support of its counter-claim.

10.5.5 Upon receipt of the Bill Disagreement Notice by the SJVN under Article 10.5.4, authorized representative(s) or a director of the board of directors/ member of board of the SJVN and RPD/REPG shall meet and make best endeavors to amicably resolve such dispute within fifteen (15) days of receipt of the Bill Disagreement Notice.

10.5.6 If the Parties do not amicably resolve the Dispute within fifteen (15) days of receipt of Bill Disagreement Notice pursuant to Article 10.5.4, the matter shall be referred to Dispute resolution in accordance with Article 16.

10.5.7 For the avoidance of doubt, it is clarified that despite a Dispute regarding an invoice, SJVN shall, without prejudice to its right to Dispute, be under an obligation to make payment of the **undisputed amount** in the Monthly Bill.

10.6 Quarterly and Annual Reconciliation

10.6.1 RPD/REPG and SJVN acknowledge that all payments made against Monthly Bills and Supplementary Bills shall be subject to quarterly reconciliation within 30 days of the end of the quarter at the beginning of the following quarter of each Contract Year and annual reconciliation at the end of each Contract Year within 30 days to take into account the Energy Accounts, Tariff adjustment payments, Tariff Rebate, Late Payment Surcharge, or any other reasonable circumstance provided under this Agreement.

10.6.2 RPD/REPG and SJVN, therefore, agree that as soon as all such data in respect of any quarter of a Contract Year or a full Contract Year as the case may be has been finally verified and adjusted, the RPD/REPG and SJVN shall jointly sign such reconciliation statement. Within fifteen (15) days of signing of a reconciliation statement, the RPD/REPG shall make appropriate adjustments in the next Monthly



Bill. Late Payment Surcharge/ interest shall be payable in such a case from the date on which such payment had been made to the invoicing Party or the date on which any payment was originally due, as may be applicable. Any Dispute with regard to the above reconciliation shall be dealt with in accordance with the provisions of Article 16.

10.7 Payment of Supplementary Bill

10.7.1 RPD/REPG may raise a ("Supplementary Bill") for payment on account of:

- i) Adjustments required by the Energy Accounts (if applicable); or
- ii) Change in Law as provided in Article 12, or
- iii) Payment under Article 4.10,

And such Supplementary Bill shall be paid by the other Party.

10.7.2 SJVN shall remit all amounts due under a Supplementary Bill raised by the RPD/REPG to the RPD/REPG 's Designated Account by the Due Date, except open access charges, RLDC or scheduling charges and transmission charges (if applicable). For Supplementary Bill on account of adjustment required by energy account and payments under Article 4.10, Rebate as applicable to Monthly Bills pursuant to Article 10.3.5 shall equally apply. Except for payment under Article 10.7.1 (i), Payment will be made after realization of the same from the Buying Utility under the Power Sale Agreement. No Late Payment Surcharge will be applicable other than that on the monthly energy payment and associated debit and credit note.



ARTICLE 6: DISPATCH AND SCHEDULING

6.1 Dispatch and Scheduling

6.1.1 The RPD/REPG shall be entirely responsible and shall be required to declare the Availability and Declared Capacity for the RE Project along with power from ESS and arrange for dispatch of Contracted Capacity in a composite manner under this Agreement as per the applicable regulations / requirements / guidelines of CERC / SERC / SLDC / RLDC or any other competent agency and same being recognized by the RLDC / SLDC or any other competent authority / agency as per applicable regulation/law / direction and maintain compliance to the applicable Codes/Grid Code requirements and directions, if any, as specified by concerned SLDC/RLDC from time to time.

The RPD/REPG/REPG shall be responsible for any deviation from scheduling and for any resultant liabilities on account of charges for deviation as per applicable prevailing regulations. For RE component of the total power supplied, DSM as per RE regulations / guidelines / directions shall be applicable, and for ESS component, the DSM as per respective regulations / guidelines / directions shall be applicable. Deviation Settlement Mechanism (DSM) charges on this account shall be directly paid by the RPD/REPG/REPG.

6.1.2 The RPD/REPG shall be responsible for directly coordinating and dealing with the Generator for the generating capacity tied up (if any), Buying Entity(ies), Regional Load Dispatch Centres, State Load Dispatch Centres, Regional Power Committees, and other authorities in all respects in regard to declaration of availability, scheduling and dispatch of power and due compliance with deviation and settlement mechanism and the applicable Grid code Regulations, acknowledging that the RPD/REPG and Buying Entity are the Grid connected entities and SJVN as an Intermediary Procurer/ trading licensee is not a Grid connected entity in respect of the power contracted under this Agreement.

6.1.3 The RPD/REPG shall be responsible for any deviation from scheduling and for any resultant liabilities on account of charges for deviation as per applicable prevailing regulations. For RE component of the total power supplied, DSM as per RE regulations shall be applicable, Deviation Settlement Mechanism (DSM) charges on this account shall be directly paid by the RPD/REPG.

6.1.4 Auxiliary power consumption will be treated as per the concerned Central/ State regulations.

6.1.5 It is to be noted that the summation of generation schedule of RE and Power from ESS source(s) cannot be more than the Contracted capacity in any 15 minutes' time-block.

6.1.6 In case of any difference in scheduled energy at interfaces of all the RLDCs concerned for the corridor of the power flow, including the RLDC of the Buying



Entity, Buying Entity/SJVN shall make payments corresponding to the lowest of the individual energy values to the RPD, until rectification of the above error

6.2 Dispatch of Contracted Capacity

- 6.2.1 The RPD/REPG shall install, operate and maintain the RE Project with FDRE configuration such that the Firm and Dispatchable RE Power as per the parameters stipulated in this Agreement and RfS (Peak hours and Annual CUF) is supplied during each Contract Year for the entire Term of this Agreement.
- 6.2.2 Unless otherwise notified by the RPD/REPG, the declared Availability shall be deemed to be 100% (one hundred per cent) thereof at all time during Peak hours. The RPD/REPG shall confirm the Availability from the RE Project as well as power from any other source components per Applicable Regulations/Guidelines prevalent from time to time.
- 6.2.3 The Buying Utility shall, in accordance with Applicable Laws and Regulations thereunder, issue instructions to the RPD/REPG for schedule of electricity and dispatch thereof to the Grid during such period and in such volume as it may specify in its instructions (the "**Dispatch**"). Provided that the Utility shall not as for dispatch in excess of the declared Availability by the RPD/REPG, unless mutually agreed between the RPD/REPG and the Buying Utility(ies).
- 6.2.4 The RPD/REPG shall plan the production and Dispatch of electricity and convey its availability for scheduling thereof by the SLDC or RLDC, as the case may be, and shall supply electricity in accordance with the provisions of the Grid Code and the Electricity Act, 2003 (as amended) etc.
- 6.2.5 RPD/REPG agrees and undertakes that the fundamental and mandatory obligation of the RPD/REPG under this Agreement is to make available the Contracted Capacity in the manner specified under this Agreement to provide Firm and Dispatchable RE Power (Peak Hour basis / Annual basis) to the buying utility.
- 6.2.6 If the RPD/REPG is unable to provide ESS component power to the SJVN/Procurer up to the Contracted Capacity due to scheduled or unscheduled maintenance of Project(s) of such tied-up capacity, the RPD/REPG is free to supply such power to the extent as specified under FDRE Configuration from alternative-RE generation source(s), to meet its obligations under this Agreement. Such power shall be supplied to the SJVN at the same Tariff as per the terms of this Agreement. In case the transmission and other incidental charges, including but not limited to application fees for open access, RLDC/SLDC charges, etc., applicable from the alternative source of power are higher than the applicable Transmission Charges, the RPD/REPG would be liable to bear such additional charges. Further, the RPD/REPG shall provide documentary evidence for establishing the source of supply for such tie up.

The Generator has to offer power such that 100% of the annual energy offered



corresponds to RE Power. The Generator can, however, source up to 5% RE power (on energy terms) on annual basis from the green market sources/bi lateral agreements towards meeting the supply conditions stipulated in the RfS.

- 6.2.7 For deviations from schedule, the DSM (Deviation Settlement Mechanism) shall be applicable as per the prevailing regulations. For RE component of the total power supplied, DSM as per RE regulations shall be applicable, and for ESS component, the DSM as per regulations applicable to ESS power plants shall be applicable. The DSM charges at the generation ends shall be settled by the RE- PG.

6.3 Supply Obligation of the RPD/REPG

In case the RPD/REPG fails to offer the contracted power as per this Agreement to SJVN/Buying Entity and sells the contracted power without its consent to any other party, the RPD/REPG, on a complaint to this effect by SJVN/Buying Entity to the load dispatch centre concerned, shall be debarred from participating in Power Exchanges and on the Discovery of Efficient Electricity Pricing portal and scheduling of any new short-term contracts from the Project for a period of three months from the date on which the default has been taken cognizance by the concerned load dispatch centre. The period of debarment shall increase to six months for second default and shall be one year for each successive default. Such debarment of the RPD/REPG shall be without prejudice to the rights of SJVN/Buying Entity for seeking compensation for the default by the RPD/REPG under this Agreement.

